

Bearish Chart Patterns - Day 3

Five bearish reversal and continuation patterns with schematic levels.

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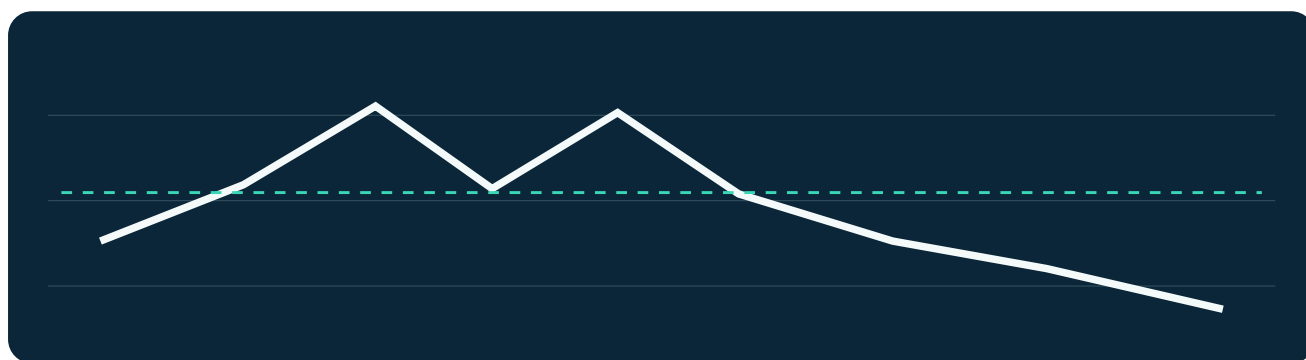
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Educational illustrations and plain-English explanations. Review the examples with your own chart and risk plan.

Before the patterns

A bearish reversal may form after a rise; a bearish continuation may follow a pause in an existing decline. Read the prior trend before interpreting a shape.

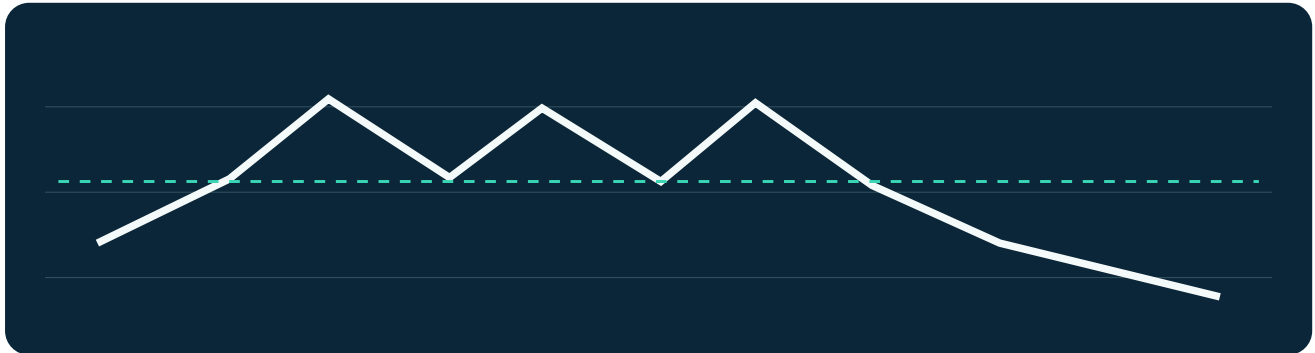
01 Double Top



Two peaks develop near the same resistance, with an intervening low.

The intervening low forms the neckline. A sustained breakdown supports the reversal idea; a new high beyond the peaks challenges it.

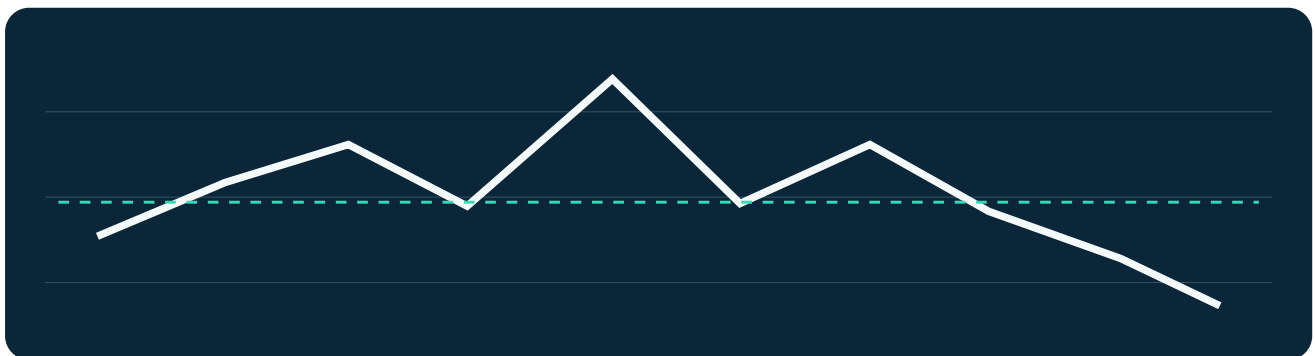
02 Triple Top



Three highs form around a common resistance area.

The lows between the highs mark a support area. Watch how price behaves below that area; a breakout above resistance invalidates the expected reversal.

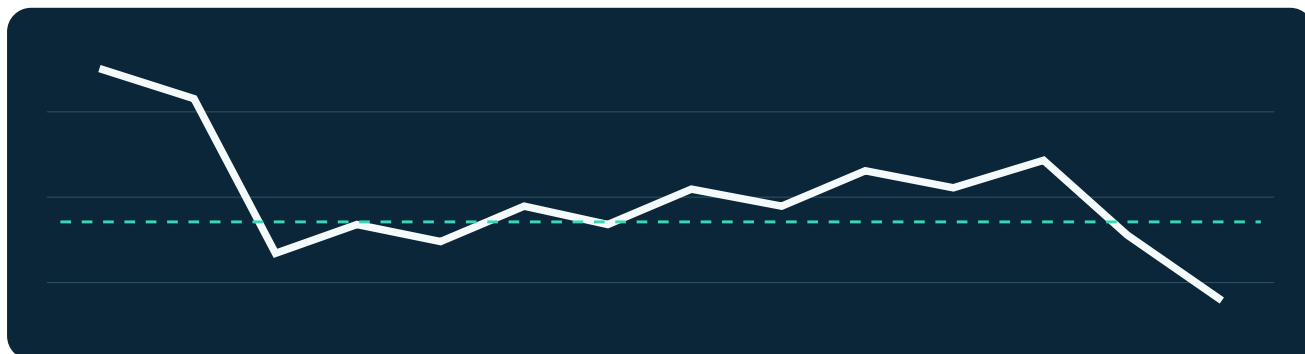
03 Head & Shoulders



A higher middle peak (head) is flanked by two lower peaks (shoulders) after a rise.

Connect the reaction lows to form a neckline. A breakdown may confirm the shape. The head-to-neckline distance is an illustrative measured move.

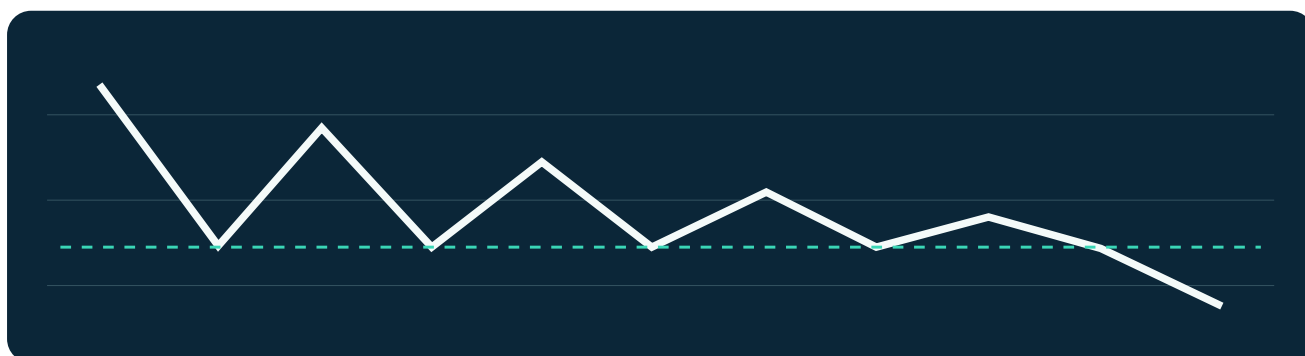
04 Bearish Flag



A sharp decline forms a pole before price rebounds inside a short upward channel.

Watch the lower channel boundary. A breakdown may resume the prior decline; a breakout above the flag challenges the setup.

05 Descending Triangle



Repeated lows test roughly flat support while each rally makes a lower high.

A break below support may resolve the compression downward. The initial triangle height is sometimes used as a visual projection; upside resolution remains possible.

A practical reading checklist

- Identify the prior trend and the nearest relevant level.
- Check the shape, close and follow-through; a pattern can fail.
- Define the price action that would invalidate the idea before deciding risk.

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